

MEC - 110 MONEY FINANCIAL INSTITUTIONS & MARKETS



Money, Financial Institutions and Markets

(Volume-2)

School of Social Sciences
Indira Gandhi National Open University
New Delhi

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Unit 16	Securities and Exchange Board of India (SEBI)	Prof. S.K. Singh, Retd. Prof. of Economics, IGNOU, New Delhi
Unit 17	Other Financial Institutions and Regulations	Prof. S.K. Singh, Retd. Prof. of Economics, IGNOU, New Delhi
BLOCK 6 OPERATIONAL ASPECTS OF FINANCIAL MARKETS		
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COURSE INTRODUCTION

MEC 110: Money, Financial Institutions and Markets

The structure of MA Economics programme has been spread over four semesters. In each of the first three semesters, three courses (in the multiple of six or eight credits) have been included in a well thought manner. The two courses i.e., Micro Economic Analysis (MEC-101) and Macro Economic Analysis (MEC-102) provide the theoretical foundation and the knowledge of mathematical and statistical tools in MEC 203, enabling to understand micro and macro theories in analytical manner. Another set of three courses included in semester two lead to further insight into the area of growth and development. The knowledge of economic theory both in micro and macro domain and insight into growth and development prepare the foundation for entering the empirical part and take up the various components of Indian economics policy (MEC-205). Knowledge of theoretical and applied part of economics make a solid ground for making in-depth study of various economic events, developments and situations. However, before taking up in-depth study, the knowledge of conceptual foundation, tools and techniques of research methodology is required. These have been provided in the course Research Methods in Economics (MEC 109).

Having the knowledge of core courses in the first and the second semesters, with the intention to have knowledge of area specific core courses, another set of three courses viz., Public Economics (MEC-106) International Trade and Development (MEC-107) and Money, Financial Institutions and Markets (MEC 110) have been introduced in the third semester.

We have covered issues related to monetary policy in macro-economic analysis, yet the various topics related to monetary economics such as functions of money and its relation and interaction with financial institutions and markets could not be covered, which are otherwise essential to have insight into the functioning of various kinds of markets in the economy. Hence, MEC 110 course as an extension of macro dimension of economics has been included in this semester.

In order to comprehend this course in a meaningful manner, students should have a clear idea of the conceptual foundations and functioning of the financial system. In this process, it is necessary to understand the role and functions of money, and the transmission mechanism of monetary policy.

This course is extremely relevant because money, financial institutions, and markets form the cornerstone of modern economies. They serve as the channels through which resources are allocated, transactions are facilitated, and economic prosperity is achieved. Their roles are multifaceted and intertwined, shaping the economic landscape and impacting the lives of individuals, businesses, and societies around the globe. Thus, understanding functions of money, financial institutions, and markets, interactions, and implications is essential for policymakers, economists, investors, and citizens alike, helping them to navigate the complexities of the financial system.

The course discusses how capital flows through the economy and how financial intermediaries play a crucial role in channelling funds between surplus and deficit units in the economy. It deliberates upon the roles, functions, and regulatory frameworks of money markets, capital markets, bond markets, and derivatives. It also provides insights into market dynamics, participant behaviour, and factors driving asset valuations. The

course also delves into functioning of Commercial banks, non-bank financial intermediaries, and regulatory bodies which form the backbone of the financial system and play an important role in maintaining economic stability. Further, it equips with the understanding of 'Efficient Portfolio Frontier' and asset pricing theories which are essential for investors seeking to optimize returns and manage risk. To understand the challenges and complexities of maintaining a stable financial system, this course also presents the comprehensive understanding of non-performing assets, foreign exchange stability, and behavioural finance.

This course is divided into eight blocks. Each block is interconnected. The structure of the course is as follows:

Block 5 entitled **Financial Institutions**, we have discussed how financial institutions form the backbone of the financial system and channelise funds between savers and investors. There are four units in this block. It explores the roles of commercial banks, non-bank financial intermediaries, regulatory bodies such as SEBI, and other institutions that shape the landscape of finance.

Block 6: Operational Aspects of Financial Markets has six units. This block delves into risk-return analysis, the Capital Asset Pricing Model (CAPM), the Arbitrage Pricing Theory (APT). The block also presents various models of derivative pricing. It also discusses corporate finance principles, and the dynamics of foreign investment.

Block 7 throws light on various aspects of **Financial Stability**. It includes six units. Financial stability is paramount for sustainable economic growth, and this final block examines its connection with business cycles, market efficiency, non-performing assets, foreign exchange stability, and behavioural finance. It provides insights into the challenges and complexities of maintaining a stable financial system.

Block 5

Financial Institutions

Unit 14	Commercial Banking
Unit 15	Non-Bank Financial Intermediaries
Unit 16	SEBI
Unit 17	Other Financial Institutions and Regulations